



PRIVATE AND CONFIDENTIAL

The Children's Investment (TCI) Master Fund – Q3 2006 Report

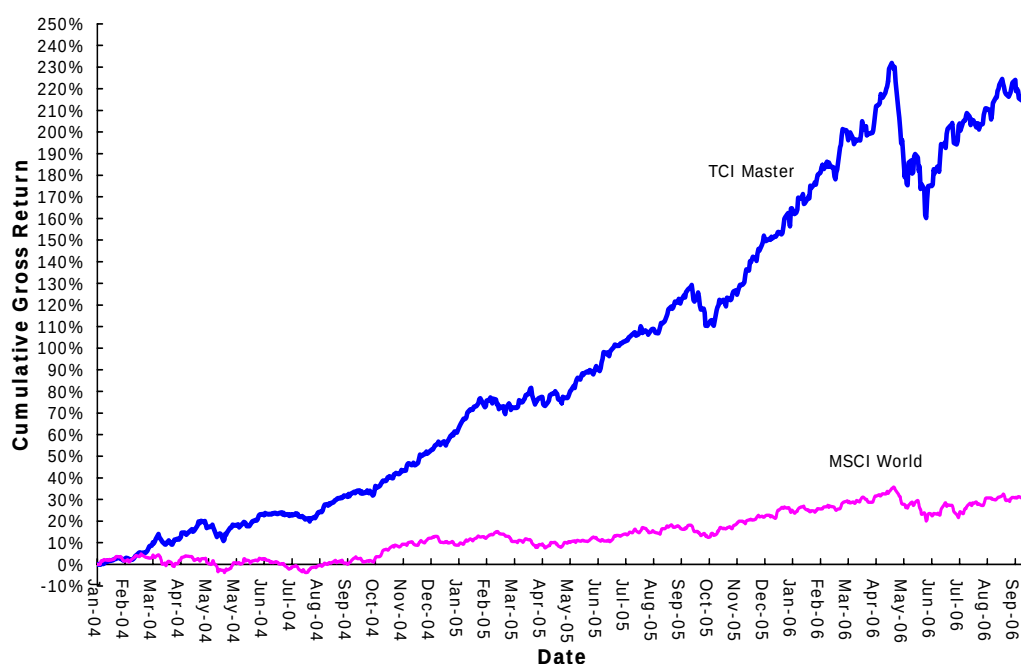
1. Fund Performance

Returns for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below:

Period	Master Fund Assets €m	Class A (3yr) \$	Class A (3Yr) €	Class B (5yr) \$	Class B (5Yr) €	Class C (5yr) \$	Class C (5Yr) €
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%
Year to Date 2006		+22.77%	+21.20%	+23.63%	+21.96%	+10.49%	+9.74%
Inception Jan 2004		+160.82%	+158.14%	+169.02%	+165.34%	n/a	n/a

Sources: Citco Fund Services; Bloomberg LP, TCI; Notes: Class C inception was March 1, 2006.

TCI Master (€) & MSCI World (\$) Since Inception



Sources: Citco Fund Services; Bloomberg LP, TCI; Notes: Performance for TCI Master Fund is gross.

The fund ended the quarter up approximately 7% net of fees. During Q3 European and world markets recovered much of their heavy losses from the prior quarter as concerns about inflation, oil prices and a US economic slowdown eased. Nearly all the stocks which had suffered the most in our portfolio during Q2 rebounded strongly. One of the positive things that can be said for the last six months is that the volatility has been good for the businesses of our stock and derivative exchanges.

There were only a few material changes in the portfolio during the quarter. Amongst these was the increase in our long position in Banca Intesa to over 11% of NAV (up from 6%), and the initiation of a new 3% position in an Asian utility. Some 3-5% of shorts and longs have been cut as they hit price targets. Overall the gross and net long exposure of the portfolio has remained stable.

The fund currently has close to \$2bn of buying or shorting power as headroom in the event of another market correction; i.e. Based on current liquidity and volatility levels within the portfolio, our NAV can fall by approximately 20% before we become a forced seller of positions by our prime brokers.

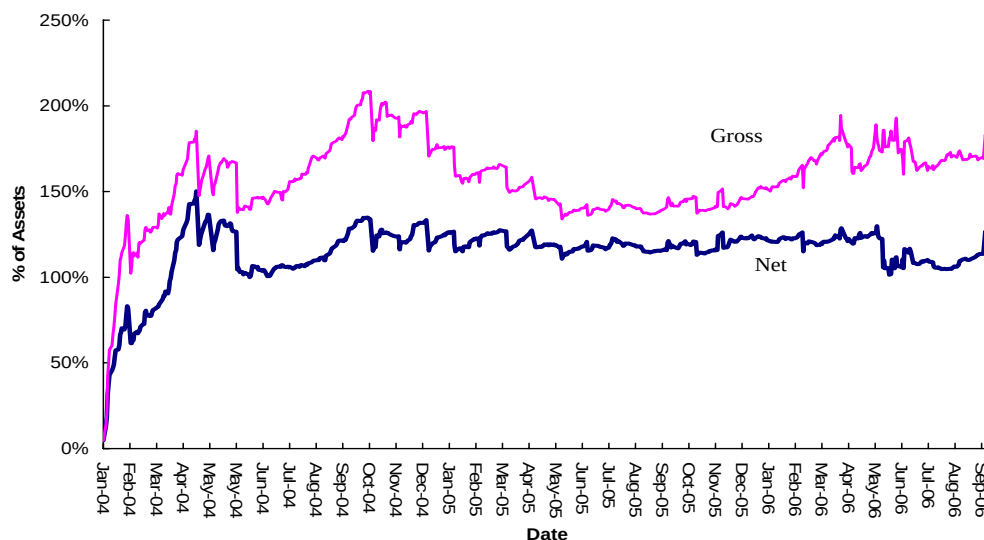
2. Key Fund Data

a. Exposure Summary

% of Master Fund Net Assets						
Period	Outright Longs	Outright Shorts	Long side Arbitrage and Pairs	Short side Arbitrage and Pairs	Gross	Net
End Jan 2006	117%	-2%	19%	-14%	152%	120%
End Feb 2006	121%	-2%	22%	-18%	163%	123%
End Mar 2006	123%	-3%	26%	-25%	177%	121%
End Apr 2006	118%	-3%	22%	-17%	160%	120%
End May 2006	120%	-15%	22%	-21%	178%	106%
End Jun 2006	121%	-7%	24%	-23%	175%	115%
End Jul 2006	115%	-10%	20%	-20%	165%	105%
End Aug 2006	120%	-9%	20%	-20%	169%	111%
End Sep 2006	124%	-6%	20%	-23%	173%	115%

Sources: Citco Fund Services; TCI.

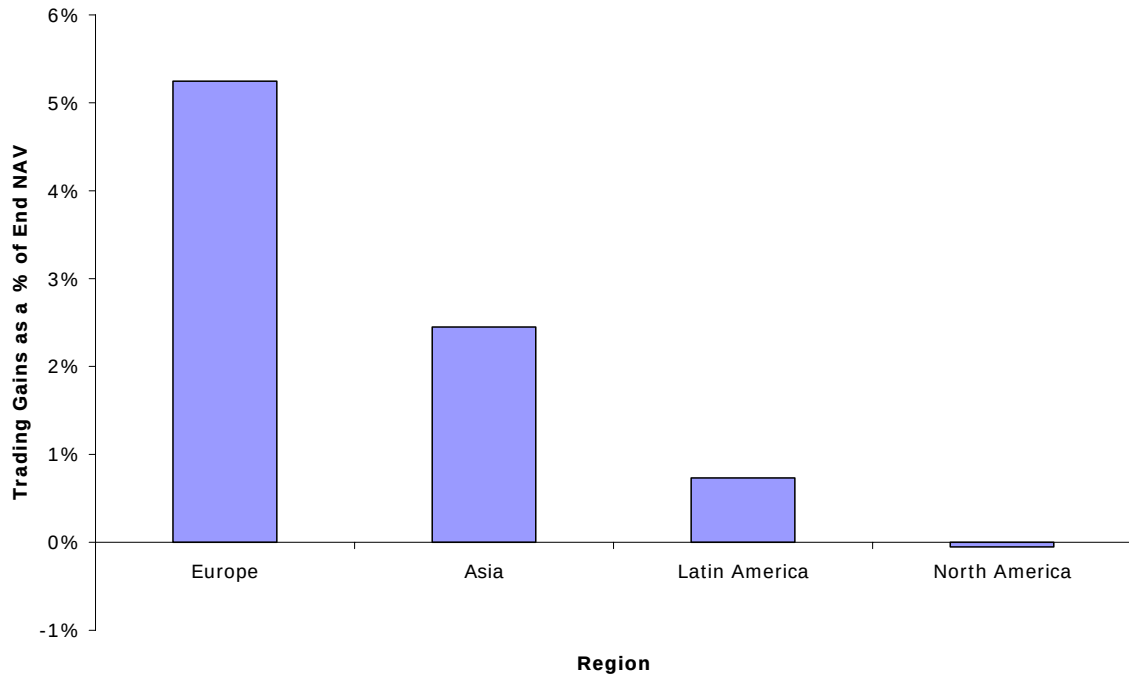
TCI Master Fund Exposure Since Inception



Sources: Citco Fund Services; TCI.

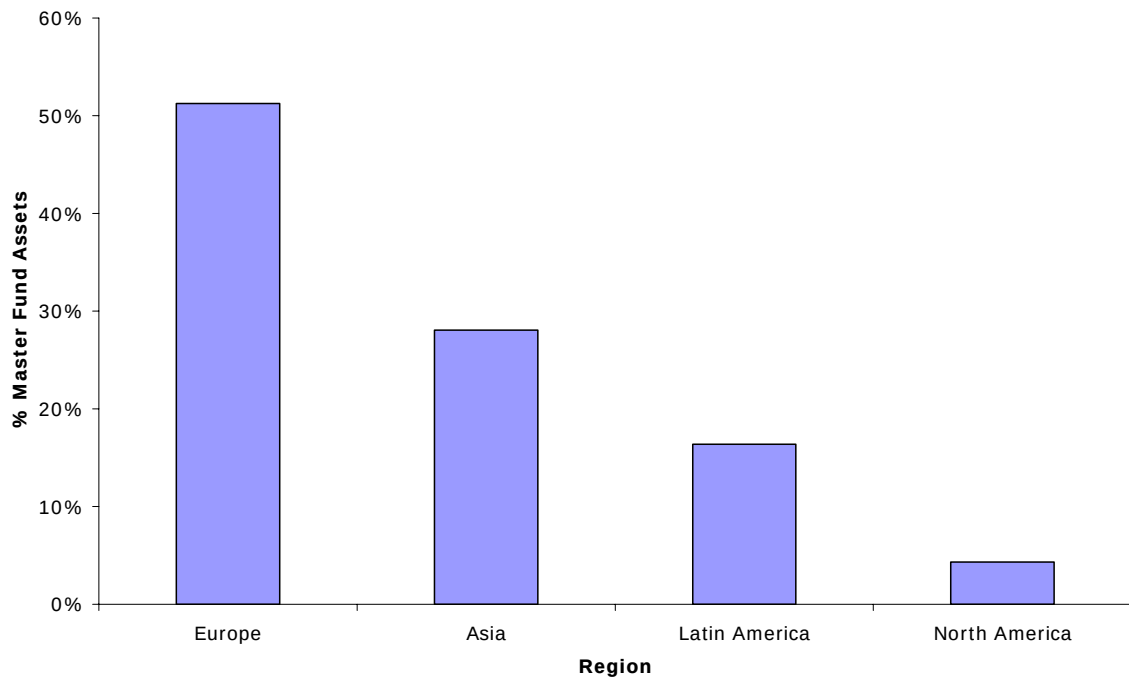
Our net has remained in its historical range of 100% to 120% net long.

b. Geographic Split of Gains in the Quarter



Sources: Citco Fund Services; TCI.

c. Geographic Portfolio Exposure



Sources: Citco Fund Services; TCI. Notes: Geographic Asset Split represented as a percentage of 100.

3. Performance Attribution During Q3 2006

Appendix 1 shows the key drivers of performance by position over Q3 2006. Major positive and negative contributors during the quarter were:

❑ Indian banks:	+2.5% of NAV
❑ Deutsche Boerse:	+1.9% of NAV
❑ Arcelor-Mittal and Arcelor Brazil:	+1.3% of NAV
❑ Euronext:	+0.9% of NAV
❑ Banca Intesa:	+0.8% of NAV
❑ Short book:	-2.0% of NAV

4. Portfolio Update

Deutsche Boerse and Euronext

During the quarter both Deutsche Boerse and Euronext reported record profits. Euronext reported Q2 revenue up 20% and operating profits up 57% year-on-year. For Q2 Deutsche Boerse's revenue was up 21% year on year, costs were 7% lower, driving operating profits up by 67% year on year. Operating cash flow was exactly in line with earnings. All divisions contributed to the growth with Eurex sales up 33% year on year being particularly strong. Deutsche Boerse is currently on a run rate free cash flow yield of approximately 6% with we believe double digit long-term growth with minimal capital investment. We do believe that structural growth drivers will outweigh any declines in volumes due to market cyclicalities in the long-term.

TCI recently met in Frankfurt for a morning with the CEO, CFO and the new head of Eurex, as well as the head of new product introductions at Deutsche Boerse. We were extremely impressed with the drive and knowledge of the new head of Eurex, who has been aggressively replacing underperforming managers and creating a culture of performance within the organisation.

The company is currently working on a very large number of new product introductions, some of which, such as an index on credit default swaps (CDS) in Europe, have been publicly announced. The CDS market globally is as big as the US treasury market and we estimate that this product alone could, if successful, add a material amount to the earnings of Deutsche Boerse. None of the sell side or buy side analysts who follow the company (that we talk to) have factored anything into their earnings for the company from new product introductions. In the case of Chicago Mercantile Exchange, who have been particularly innovative with joint ventures and new products launches, these initiatives are expected to contribute some 30% of future earnings, indicating the potential growth if Deutsche Boerse can correct its historic weakness in this area.

The value of the New York Stock Exchange (NYSE) offer for Euronext has increased on the back of a major rally during the quarter of the NYSE share price. In addition their CEO continues to indicate that they will raise their bid as necessary to win. However, it is still unclear if their bid will pass regulatory approval by the French authorities. Deutsche Boerse has yet to open their formal bid having awaited a report commissioned

from Europlace, a group of French companies listed on the stock exchange and owning some 5% of the shares. This report has just been released and argues that both bids have shortcomings. The NYSE bid is criticised for being a pure takeover play that leaves little room for Paris to influence long-term governance. Deutsche Boerse's offer is criticised for requiring the CEO to be in Frankfurt. The report recommends that users buy shares in Euronext and purchase Deutsche Boerse's cash markets business before any deal with NYSE is agreed.

Euronext are maintaining early December as a date for a shareholder vote on the NYSE deal.

Arcelor-Mittal and Arcelor Brazil

The fund has purchased a combined 7% stake in these two companies based on deep value considerations. Arcelor-Mittal is now the world's largest steel company. It produces over 100m tons of steel globally. We have bought in at 5-6x free cash flow through Arcelor stock. During the quarter the company held an investor day in London which we attended. They announced that they would pay a minimum dividend equating to a 4% dividend yield and targeted free cash flow to grow strongly from current levels of \$6-7bn per year.

Arcelor Brazil is the Brazilian subsidiary of Arcelor. We have invested on a fundamental basis seeing that the company could generate a 20% unlevered free cash yield at our purchase price going forward. During the quarter the Brazilian stock market regulator, the CVM, announced that Arcelor-Mittal would have to offer to buy out the minorities of this company. Mittal appealed the decision but has lost the appeal. Mittal is currently deciding whether or not to seek an injunction in the next two weeks (which is only possible if they prove such an offer would result in irreparable harm to themselves) or to try to reach a settlement with shareholders and the CVM. The by-laws of Arcelor Brazil state that, in the event of a change of control of Arcelor, then minorities are entitled to equal treatment to Arcelor shareholders. We contend that this should be interpreted as an equal premium resulting in a 40-50% premium bid from current levels. Not surprisingly we expect Mittal to contest this interpretation.

Banca Intesa

Intesa has been a core holding for the fund since 2004. The CEO, Corrado Passera, has done an outstanding job turning around a strong but badly mismanaged franchise. We have liked Italian retail banks because of the strong structural growth due to very underpenetrated consumer financial services in products such as mortgages and consumer loans. During the quarter Intesa announced an agreed nil premium merger with San Paolo IMI to create the largest bank in Italy with a 25% domestic market share. It will be 65% retail and focused in wealthier Northern Italy. The company estimates €1.3bn of synergies from the deal. We think that this is achievable and would put the merged company on a P/E of around 8.5x 2008 adjusted for excess capital. We think this bank can trade at 12x P/E and can be worth even more. In addition we think the dividend yield in 2008 will be 7-8% underpinning downside risk. As a result we have increased the position to 11% of NAV from around 6% before the deal was announced.

Indian Banks

These were a strong performer during the quarter recovering all of the 40-50% price falls of Q2. At their trough these stocks had been trading at 5x P/E and 1x tangible book for 20-30% EPS growth medium-term. The fundamentals continued to show great strength with double digit loan and deposit growth and widening margins. We believe that long-term these stocks will make the fund a lot of money.

Short Book

A number of the shorts (but not all), which produced strong returns for us in Q2, rebounded strongly in Q3. We have largely eliminated three positions (circa 3% of NAV) since the end of Q2. In the case of two of these positions meetings with board level representatives and CEOs persuaded us that the risk/rewards were no longer sufficiently compelling to hold the short. Our largest short position we believe has close to zero intrinsic value but trades with well over a \$20bn market cap and has over \$10bn of net debt. We believe its largest operating assets are structurally loss making.

5. Foreign Currency Exposure

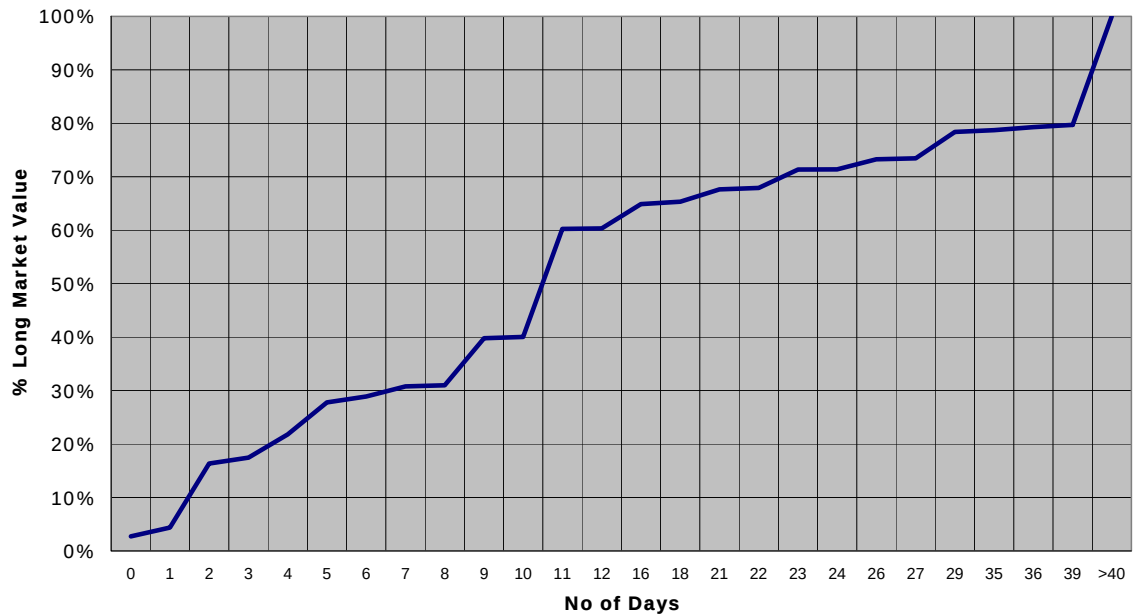
Summary of Unhedged Currency Exposures (% of NAV)	
Malaysia	0.4% net long
Mexico (US listed)	3.5% net long
Indonesia	2.3% net long
Brazil	12.2% net long
China	1.8% net long
Korea	2.9% net long
TOTAL	23.1% net long

Sources: TCI.

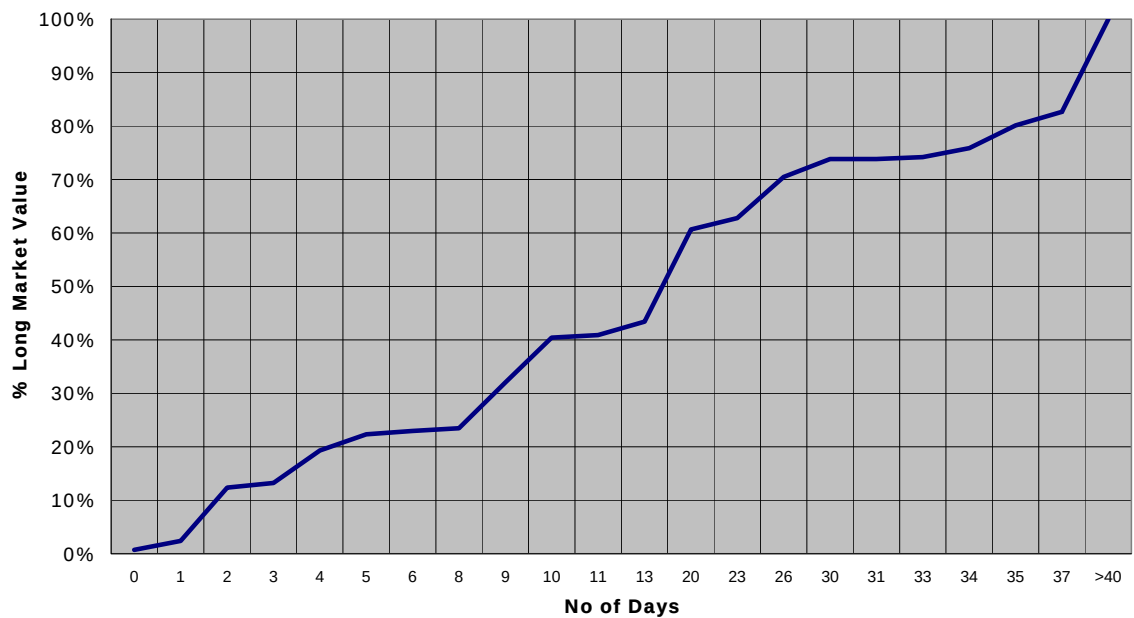
Our unhedged currency exposure remained relatively stable over the quarter. We continue to believe that hedging the Brazilian currency would be negative value added. Cemex has approximately half US Dollar related exposure which is reflected in the tabled an unhedged Mexican Peso. Our Indonesian investment we believe to have Dollarised earnings and is unhedged accordingly.

6. Liquidity Analysis

TCI Master Fund Liquidity Profile Q2 2006



TCI Master Fund Liquidity Profile Q3 2006



Sources: Citco Fund Services; TCI. Notes: Analysis is based upon long positions only, including the long side of share class arbitrages.

The portfolio's liquidity remained constant over the quarter relative to Q2-end.

7. Assets Under Management

The fund has taken no new net assets (i.e. redemptions = subscriptions) since June.

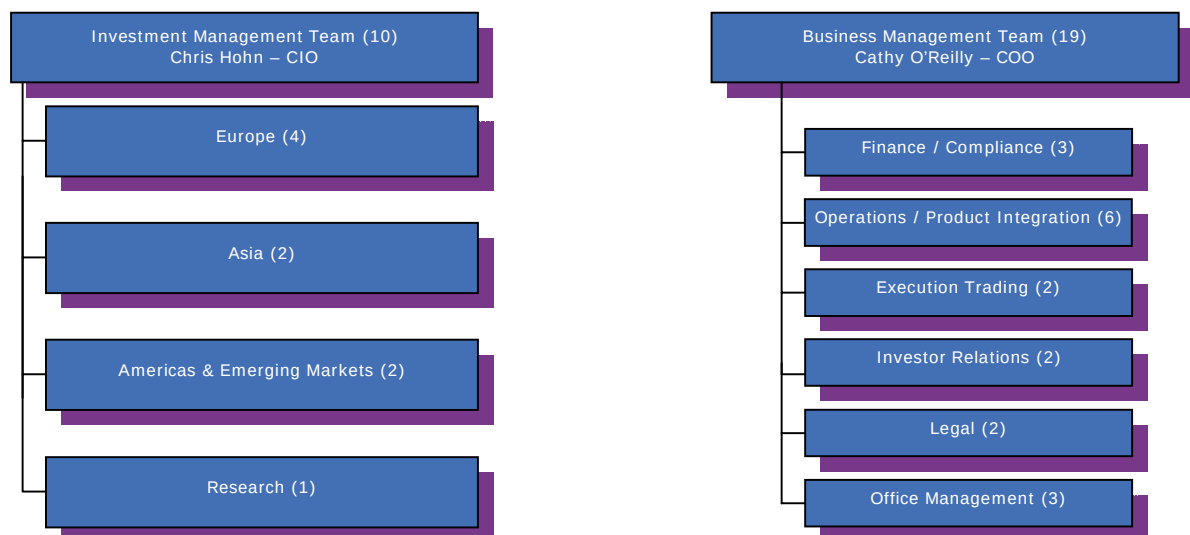
8. The Firm

a. Hiring

Over the last quarter, we have continued to build out the Finance, Legal, Investor Relations and Office Management teams within the business.

- ❑ Finance: we hired Helen Cowling to work with Matt King as a management accountant. Helen previously worked at Citigroup within the Financial Reporting Control function.
- ❑ Legal: the legal team has seen the addition of a second lawyer to work with James Hawks. Eileen Moran is a very experienced buy side fund's lawyer who previously worked at Gartmore and then more recently at PIMCO.
- ❑ Investor Relations: Nicky Paget joined Rahul Moodgal on the investor relations team. Nicky and Rahul previously worked together at TT International for four years.
- ❑ Office Management: Dina Grundy has been joined by Sarah Anderson to assist in the day-to-day running of the London office. In Hong Kong, Rebecca Lo joined to look after the office as well as support both John Ho and Oscar Veldhuijzen.

Below is an updated organisation chart for the firm.



b. Regulatory Registrations

SEBI: As a long-term investor in India, TCI obtained a SEBI licence to trade Indian securities directly rather than via swap, if we so choose.

9. TCI Affiliated Funds

a. Algebris

The Algebris global long/short financials fund, the latest of TCI's affiliated funds, launched on October 2nd with \$672m. The fund is now closed.

b. KDA Capital

KDA continues to attract significant interest. Since their December 2005 inception, the fund is up 24.4% net versus 15.6% for MSCI Europe, inline with their objective of 10% out performance of the benchmark per annum. The firm's assets are \$750m, which includes a new separately managed account. They will soft close at \$1bn.

c. Parvus

Parvus is having a phenomenal year, thus far and is up 34% net year to date. The fund will re-open sometime in 2007.

For information on the products and services of TCI and its affiliated funds please contact Rahul Moodgal at rahul@tcifund.com or on +44 20 7440 2384.

We thank you for your continued support of TCI.

Christopher Hohn
Managing Partner

The Children's Investment (TCI) Fund Management (UK) LLP
October 2006

Appendix 1

Top Long Positions at Quarter End – Q3 2006 Trading Gains / Losses

	% of Master Fund Net Assets	Country	Market Cap (\$bn)	Trading Gains/Losses as % of End NAV
Deutsche Boerse	18.0%	Germany	15	1.9%
Banca Intesa	11.1%	Italy	46	0.8%
Euronext	10.4%	France	11	0.9%
Unnamed Japanese Utility	9.2%	Japan	>6	-0.4%
Link REIT	8.2%	Hong Kong	4	0.4%
Cemex ADR	6.5%	Mexico (US Listed)	23	0.3%
TOTAL	63.4%			3.9%

Sources: Citco Fund Services; TCI.

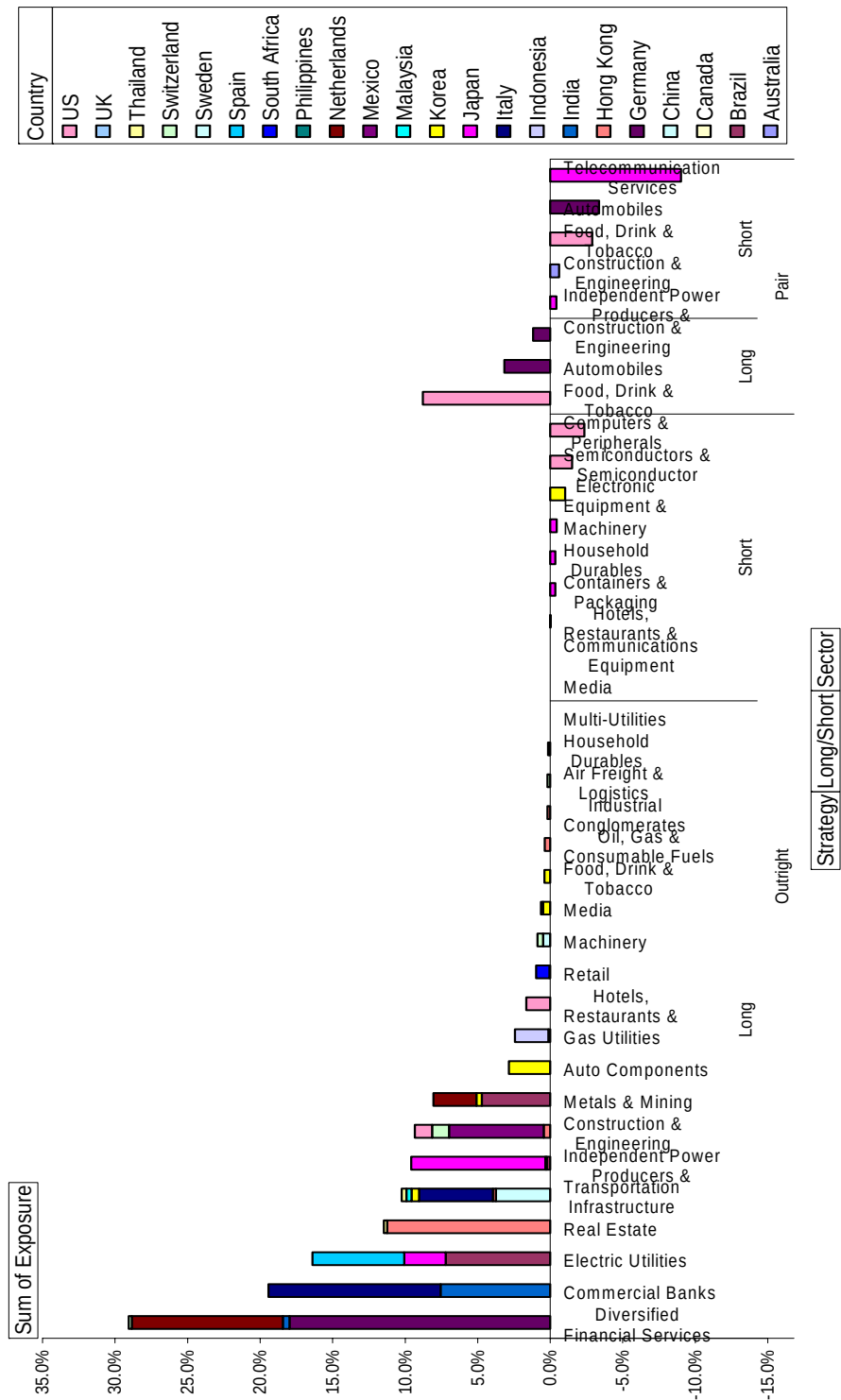
Long Positions Contributing Most to P&L in Q3 2006

	Strategy	Trading Gains as % of End NAV
Deutsche Boerse	Long	1.9%
Punjab National Bank	Long	1.1%
Euronext	Long	0.9%
Banca Intesa	Long	0.8%
Unnamed European Utility	Long	0.8%
Arcelor Brazil	Long	0.7%
Mittal Steel	Long	0.6%

Sources: Citco Fund Services; TCI

Appendix 2 – Quarter End Sector and Country Exposure

TCI Master Fund End September 2006 Net Exposure



Sources: Citco Fund Services; TCI.

Statistical Appendix – TCI Master Fund Performance Since Inception

Period	Master Fund Assets €m	Class A (3yr) \$	Class A (3Yr) €	Class B (5yr) \$	Class B (5Yr) €	Class C (5Yr) \$	Class C (5Yr) €	MSCI World (\$)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+1.54%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.55%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			-0.89%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01%			+2.20%
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			-2.22%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			+0.67%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.91%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+0.32%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-3.34%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			+0.26%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			+1.77%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-1.38%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			+2.37%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+5.09%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+3.73%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+11.59%
2004		+41.95%	+43.04%	+43.65%	+44.39%			+12.84%
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			-2.31%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+3.01%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-2.17%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-2.39%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+1.52%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+0.71%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			-0.21%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.43%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			+0.56%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+2.47%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+6.57%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.49%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+3.14%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+2.14%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+2.73%
2005		+49.66%	+48.90%	+51.48%	+50.68%			+7.56%
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+4.41%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			-0.29%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+1.96%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%	+6.15%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	+2.87%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-3.72%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.18%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-1.14%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.55%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.38%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+0.46%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%	+3.43%
2006		+22.77%	+21.20%	+23.63%	+21.96%	+10.49%	+9.74%	+8.54%
Inception		+160.82%	+158.14%	+169.02%	+165.34%	n/a	n/a	+31.74%

Sources: Citco Fund Services; Bloomberg LP, TCI; Notes: January 1, 2004 inception except Class C (March 1, 2006). Notes: TCI is The Children's Investment Fund Management (UK) LLP. Issued on behalf of The Children's Investment Master Fund by The Children's Investment (TCI) Fund Management (UK) LLP. This report is prepared from sources we believe to be reliable. Some figures are estimates only and should be treated as such. The value of investments may go up or down and you may not get back your original investment. Past performance is not necessarily a guide to future performance. The strategy employed may result in the NAV exhibiting a high level of volatility and so is suitable for professional investors only. The Children's Investment (TCI) Fund Management (UK) LLP is Authorised and Regulated in the UK by the Financial Services Authority.